

25LBCV01109 25LBCV01109

County: los-angeles

Division: Civil Law and Motion

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Case Number: 25LBCV01109 Hearing Date: July 2, 2026 Dept: S28

Preliminary

Matters

A. Meet

and Confer

Defense

Counsel declares the parties met and conferred by telephone but were unable to resolve the issues posed by way of the demurrer and motion to strike.

B. Judicial

Notice

In

support of their Demurrer to Plaintiff's First Amended Complaint, Defendants request that the Court take judicial notice of a trustee's sale and two notices of pendency of action recorded in the Los Angeles Recorder's Office. Defendants also request judicial notice of various court records in Daniel Kwan Haeng Lee v. JPMorgan Chase Bank, N.A., et al., Superior Court of California, Los Angeles County, Case No. 23LBCV01651. The RJN is unopposed and granted.

Analysis

On January 29, 2026, the Court sustained Defendants' demurrer to the Complaint finding that "Defendants discovered a cloud on the title – the lis pendens. IF that lis pendens were deemed valid, it would render the property uninsurable. Defendants therefore had the right to cancel the sale. It is of no moment that the lis pendens was

ultimately invalid. All that matters was that, IF it had been found valid, it would have clouded title in a way that rendered the property uninsurable." The Court granted leave to amend and Plaintiffs then filed the FAC.

Plaintiffs' FAC seeks relief from Defendants' failure to complete a sale for which Plaintiffs had contracted. The timeline of events is as follows:

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2/10/20

– Defendant US Bank takes possession of the subject property through a trustee's sale

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9/21/23

– Daniel Lee records a lis pendens on the property

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10/24/24

– the trial court dismisses Lee's case that forms the basis of his lis pendens

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11/25/24

– Plaintiffs enter into a purchase agreement for the property

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1/27/25

– Defendants refuse to close the sale

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4/03/25

– Plaintiffs file this lawsuit

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4/09/25

– Plaintiffs record a lis pendens on the property

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10/09/25

– the court of appeals affirms the trial court's dismissal of Lee's action

Defendants' request for judicial notice establishes that there are two lis pendens recorded on the subject property. The parties' contract contains the following language at ¶16:

"If the seller discovers a defect in title which, if valid, would make title to the Property uninsurable, Seller shall have the right unilaterally to terminate the Agreement by giving written notice of the termination to Purchaser."

In the FAC, Plaintiffs continue to claim that terminating the sale constitutes a breach of contract, that they are entitled to specific performance or damages, and they request declaratory relief. (FAC, pars. 17.) Plaintiffs newly allege that US BANK's cancellation of the contract under Paragraph 16 was improper because US BANK purportedly had knowledge of the Notice of Pendency of Action, and the Notice of Pendency of Action was "adjudicated to be invalid by entry of a final Judgment in the underlying action on October 24, 2024." (FAC, par 19.)

Defendants argue that Plaintiff's amendments do not cure the deficiencies as previously found by this Court in sustaining the Demurrer. Defendants contend the following: "The trial court in the Lee Action entered Judgment in favor of Defendants on October 24, 2024. (RJN, Ex. "6".) Defendants entered into the Purchase Contract on November 25, 2024. (FAC, pars. 11-12 and Exs. "1", "2". After judgment was entered, plaintiff Lee appealed, and that appeal was not concluded until October 9, 2025, well after Plaintiffs filed this action on April 23, 2025. (RJN, Exs. "7", "8".) Thus, at the time US BANK cancelled the Purchase Contract in January 2025, it could not have been determined whether the action underlying the Notice of Pending Action was "valid" or not." (Demurrer, p. 8.)

Here, as the Court previously found, Plaintiffs fail to state a cause of action. Plaintiffs concede the lis pendens documents have been recorded and concede that, if those documents are valid, they would make title to the property uninsurable.

Plaintiff also recognizes that this action presents a dispute over interpretation of Paragraph 16 of the Contract

Addendum, and argue that the phrase “if valid” means the lis pendens must have been adjudicated to have been valid in order to support cancellation of sale. This Court has already resolved the interpretation dispute in ruling on the demurrer to the Complaint in finding that “Plaintiffs are mis-reading the purchase contract as a matter of law.” Plaintiffs argue that the Court’s interpretation is incorrect, in effect improperly asking the Court to reconsider the basis for sustaining the demurrer to the Complaint. The Court disagrees and reiterates that Defendants discovered a cloud on the title – the lis pendens, and if that lis pendens were deemed valid, it would render the property uninsurable. Defendants therefore had the right to cancel the sale, and nothing Plaintiffs have newly alleged in the FAC changes these facts and their legal effect. It is immaterial that the lis pendens was ultimately invalid because if it had been found valid, it would have clouded title in a way that rendered the property uninsurable.

Finally, Plaintiffs claim that they are entitled to rely on extrinsic parol evidence because Paragraph 16 is purportedly ambiguous and the matter thus cannot be resolved on Demurrer. The Court has already found that Paragraph 16 is not ambiguous.

The demurrer to the FAC is therefore sustained. Because this is a purely legal issue, leave to amend is DENIED.

Defendants’ motion to strike is moot in light of the ruling on the demurrer.

CONCLUSION

Defendants Select Portfolio Servicing, Inc. and U.S. Bank, NA’s Demurrer to the FAC is SUSTAINED without leave to amend.

Defendants’ Motion to Strike is DENIED as moot.

Moving parties to give notice.